

Figure 3.4 shows a comparative analysis and the advantages that gold ETFs clearly have over all other gold investment avenues.

Transaction Charges	Jewellery	Gold Bars	Gold ETF
Purchase	Making charges of 15-20%	10% to 20% mark-up charges by banks.	Brokerage of 0.5% or even less.
Sell	10% - 20% is lost due to Purity issues	Banks do not take it back, so premium paid at time of purchase is written off.	Brokerage of 0.5% or even less.
Maintenance	Insurance charges and locker charges (if you put it in locker)	Insurance charges and locker charges (if you put it in locker)	1.00%
Tax Implications	Long-term capital gain, but after 3 years, plus wealth tax	Long-term capital gain, but after 3 years, plus wealth tax	Long-term capital gain, but after 1 year. No wealth tax

Fig 3.4: *Gold ETFs vs other gold investment avenues*

Off late, to encourage our society to bring out their jewellery constrained gold deposits and let that money flow in the economy, the government of India has come with two new schemes : "Gold Monetisation Scheme" as well as "Gold Bonds" scheme. Though these schemes seem to offer lucrative returns *vis-à-vis* Gold ETFs, these are in the initial stages of being launched. The liquidity and viability of these schemes still remains to be seen. However, if they go through fine, then it might make sense for most of us to switch from Gold ETFs to Gold Bonds which might offer the same flexibility and liquidity as Gold ETFs plus an additional 2.5% interest on the deposited gold. But for now, I suggest that you continue with Gold ETFs.

How much you should invest in gold depends on the risk reward weightage that you want to give gold. A balanced portfolio should have anywhere between 5 to 10% of the money invested in gold.

Once you are a mature investor, these percentage allocations of various investments in your portfolio, including that of gold, can keep changing